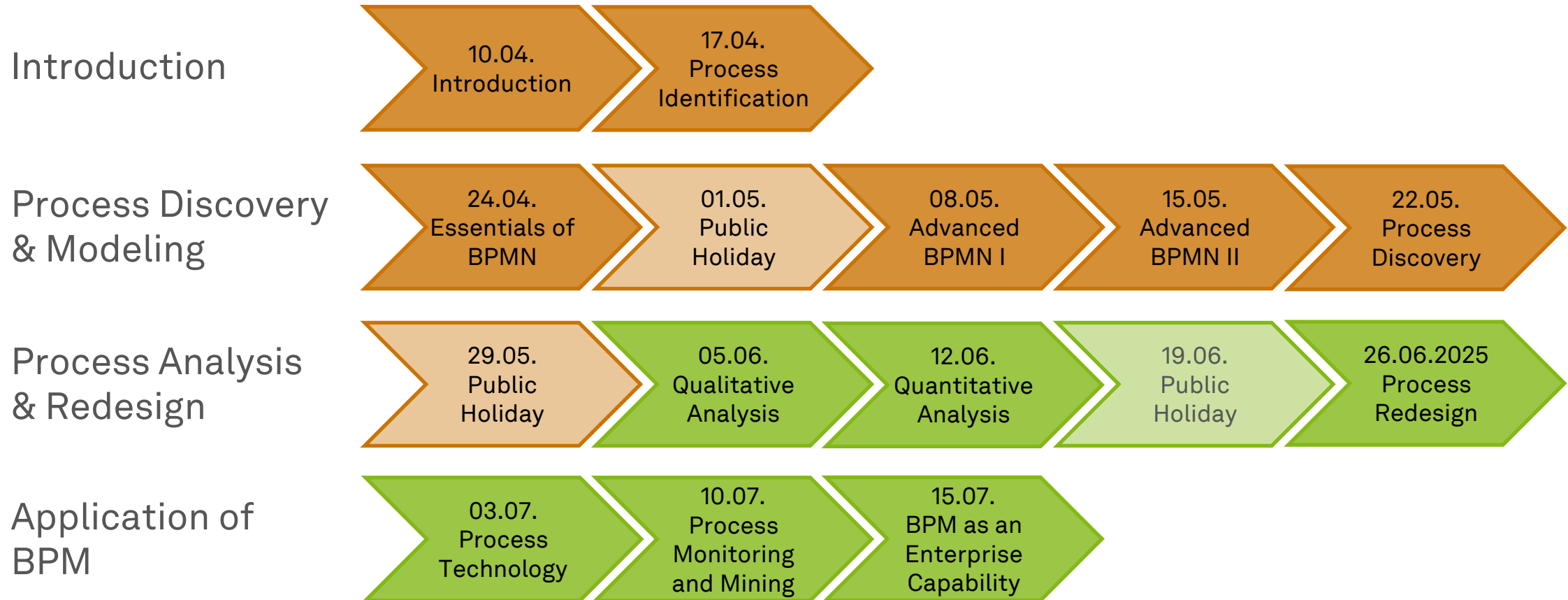


Business Process Management

Qualitative Process Analysis



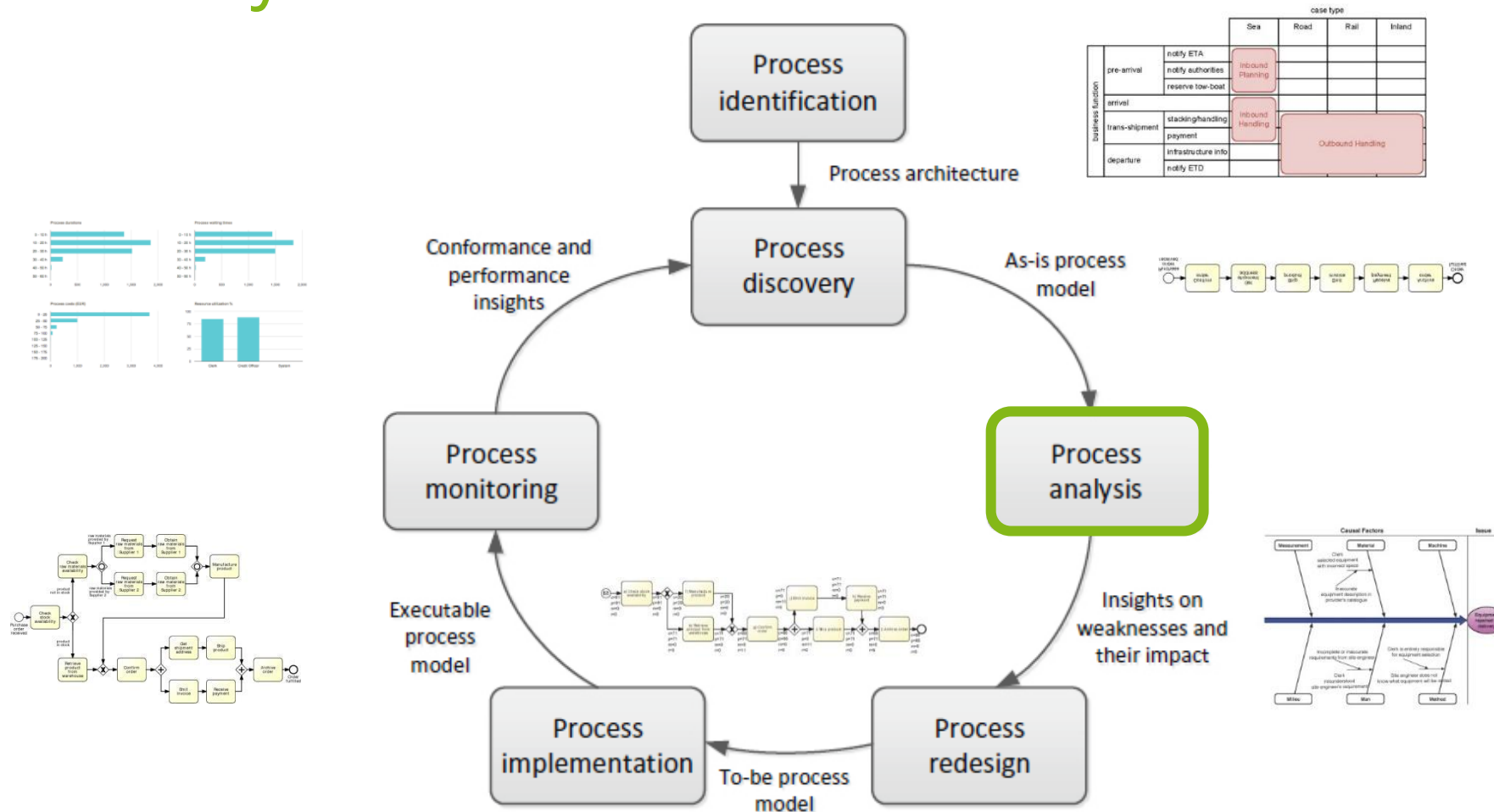
Roadmap



Learning Goals of Today

- Understand and be able to use value-added analysis
- Understand and be able to use waste analysis
- Understand and be able to use stakeholder analysis and issue documentation
- Understand and be able to use root cause analysis

The BPM Lifecycle



Process Analysis

*“Quality is free, but only to those who
are willing to pay heavily for it.”*

Tom DeMarco (1940–)

- Analyzing Processes is an **art** and a **science**
- **Qualitative analyses** use a range of **principles and techniques**
- **Quantitative analyses** use **measures** to judge a process
- There is no single way of producing good results

A Selection of Process Analysis Techniques

- **Qualitative analysis**
 - Value-added Analysis
 - Waste Analysis
 - Stakeholder Analysis
 - Root cause Analysis
- **Quantitative Analysis**
 - Flow Analysis
 - Queueing Analysis
 - Process Simulation



Purpose of Qualitative Process Analysis

- Identify and eliminate **unnecessary steps in a process**
 - Valued-added analysis
 - Waste analysis
- Identify, document, understand, and prioritize **issues**
 - Stakeholder analysis and issue documentation
 - Root cause analysis
 - Pareto charts, PICK charts

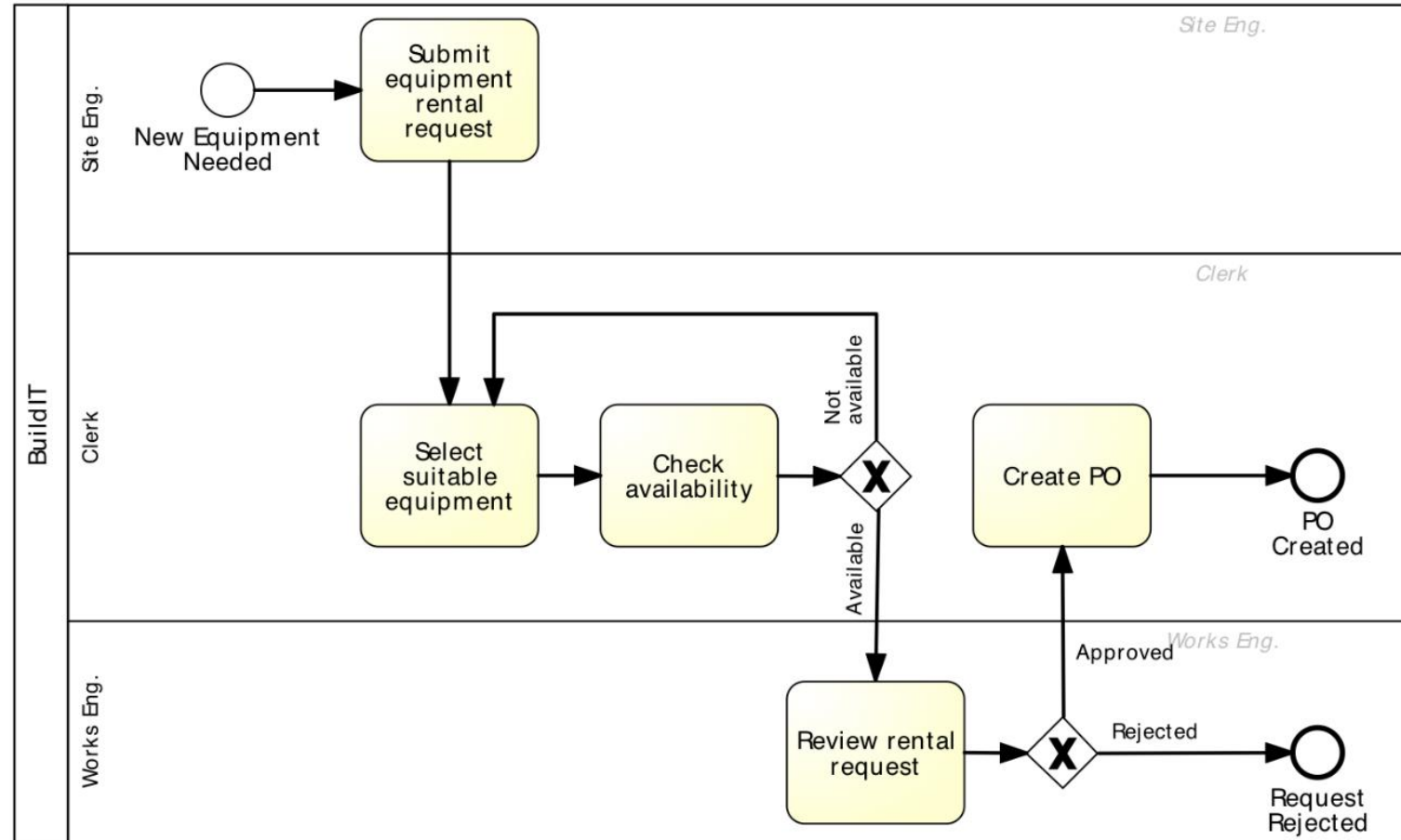
Value-added Analysis



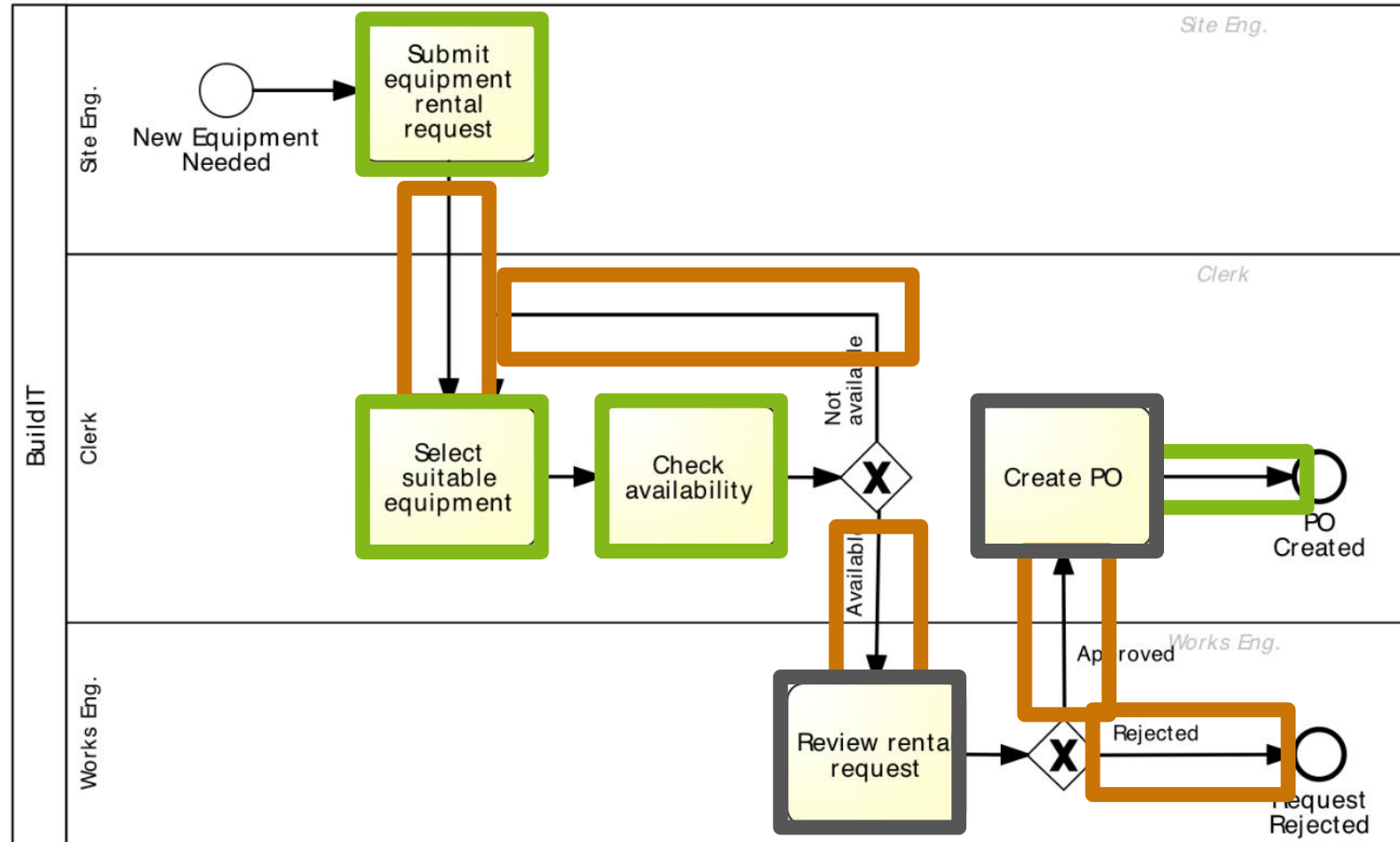
Value-added Analysis

- Technique to **identify unnecessary steps** in a process and eliminate them
- **Decompose** the process into steps and identify customer & positive outcomes
 - Analyze documentation
 - e.g., process models, checklists
 - Analyze tacit knowledge
 - e.g., through observation and interviews
- **Classify** each step into
 - **Value-adding (VA)**: Produces value or satisfaction to the customer
 - **Business value-adding (BVA)**: Necessary or useful for the business to run smoothly, or required due to the regulatory environment, e.g. checks, controls
 - **Non-value-adding (NVA)**: Everything else including handovers, delays, and rework

Value-added Analysis Example



Value-added Analysis Example



Guidelines for Value-added Analysis

- **Handoff steps** between process participants are **non-value adding**
- **Control steps** are generally **business-value adding** (an excessive amount may be NVA)
- Creating a **formal document** in general is typically **non-value adding**
- **Steps** imposed by **accounting or legal** requirements are generally **business-value adding** (beware of hearsay)
- Differentiate between **passing** information (NVA) and **creating** and **making** information **available** (VA)
- **Classification is to some extent subjective and depends on context!**
(That is why it is an art!)

Guidelines for Elimination

- **Minimize and Eliminate NVA steps**
 - Use automation (BPMS)
 - Reconsider participants (e.g., clerk)
 - Consider process variants (e.g., low value cases without approval)
- **Minimizing and Eliminating BVA steps is a trade-off**
 - Consider the value for the company w.r.t. goals and strategy
 - Consider regulations
- More about this when we discuss process redesign

Waste Analysis

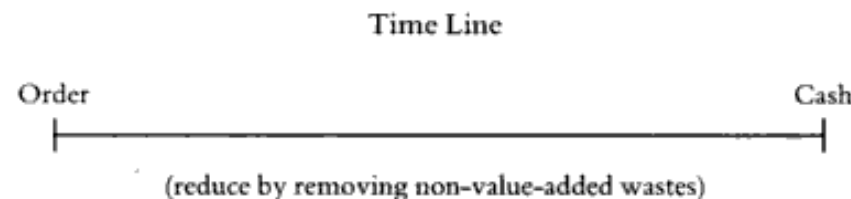


Waste Analysis

*“All we are doing is looking at the timeline,
from the moment the customer gives us an order
to the point when we collect the cash.*

*And we are reducing that timeline
by removing the non-value-added wastes.”*

Taiichi Ōhno (1912–1990)



7+1 Sources of Waste

- **Transportation** (send, receive)
- **Motion** (drop-off, pick-up, go to)
- **Inventory** (large work-in-progress)
- **Waiting** (idle time between tasks)
- **Defects** (compensation to fix defects)
- **Overprocessing** (performing what is not needed)
- **Overproduction** (unnecessary cases)
- **Skills** (resource underutilization, idle resources)
- **Move**
 - Transportation & motion
- **Hold**
 - Inventory
(+ *overprovisioning*) & waiting
- **Overdo**
 - Defects, overprocessing, overproduction

Move

- **Transportation**

- Physical transport of materials from A to B
- Physical transport of documents
- Handoffs between participants
- Electronic Data Interchange (EDI) has automated some, lanes in pools help to identify further waste

- **Motion**

- Physical movement of process participants from A to B
- Application switch in digitalized processes
- Robotic Process Automation (RPA) can help to reduce some of this waste

Hold

- **Inventory**

- Physical hold of more stock than necessary to perform a task
- Work-in-process
- *(Resource/skill overprovisioning – more capacity than necessary)*
- See Quantitative Process Analysis

- **Waiting**

- Change-over times
- Idle times, suspend times
- Resource availability
- **Transportation is a constant source of waiting waste**
- See Quantitative Process Analysis

Overdo

- **Defect**

- Correct, repair, or compensate for issues
- Results in rework (loops)
- See Process Redesign

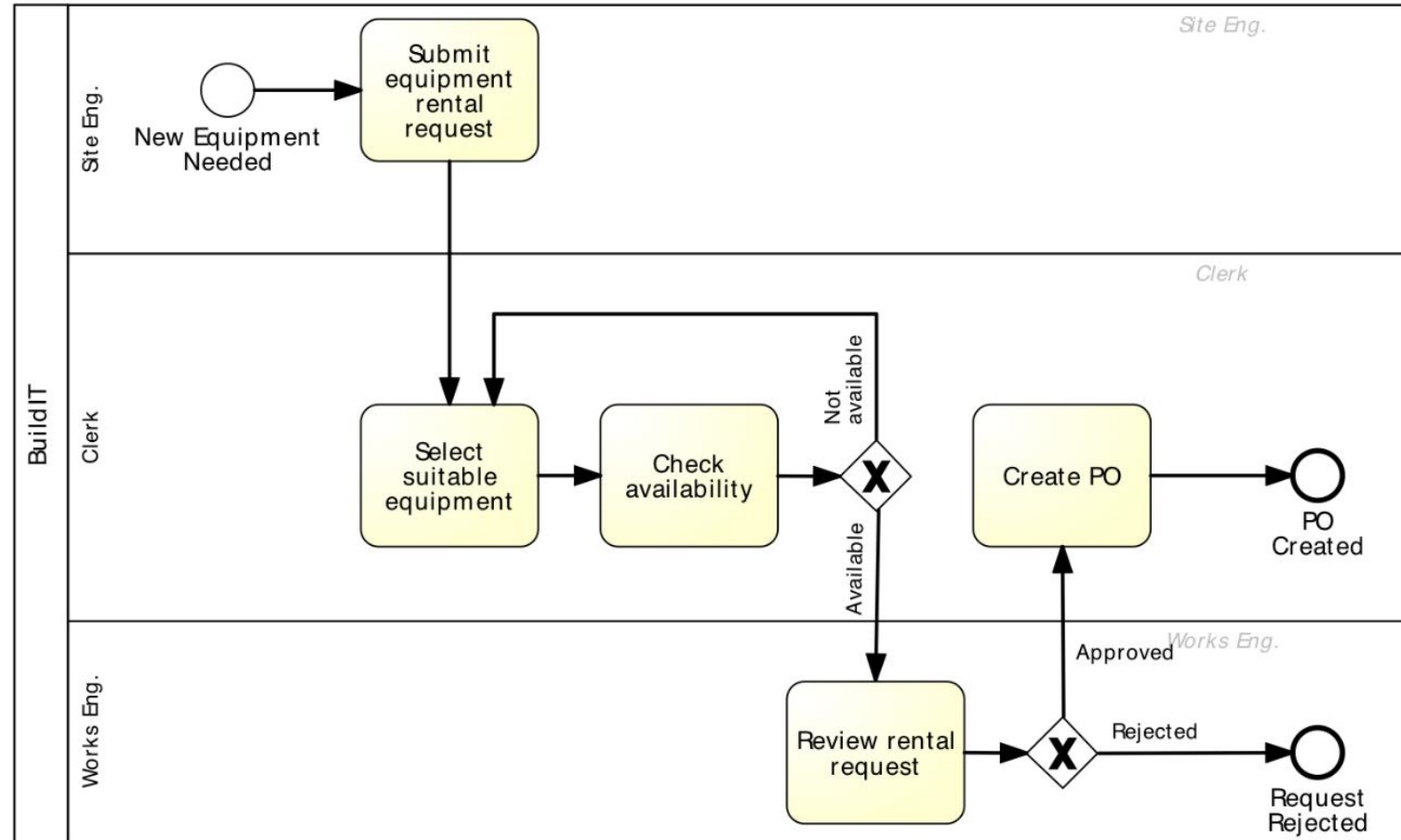
- **Overprocessing**

- Unnecessary tasks or unnecessary perfectionism
- See Process Redesign

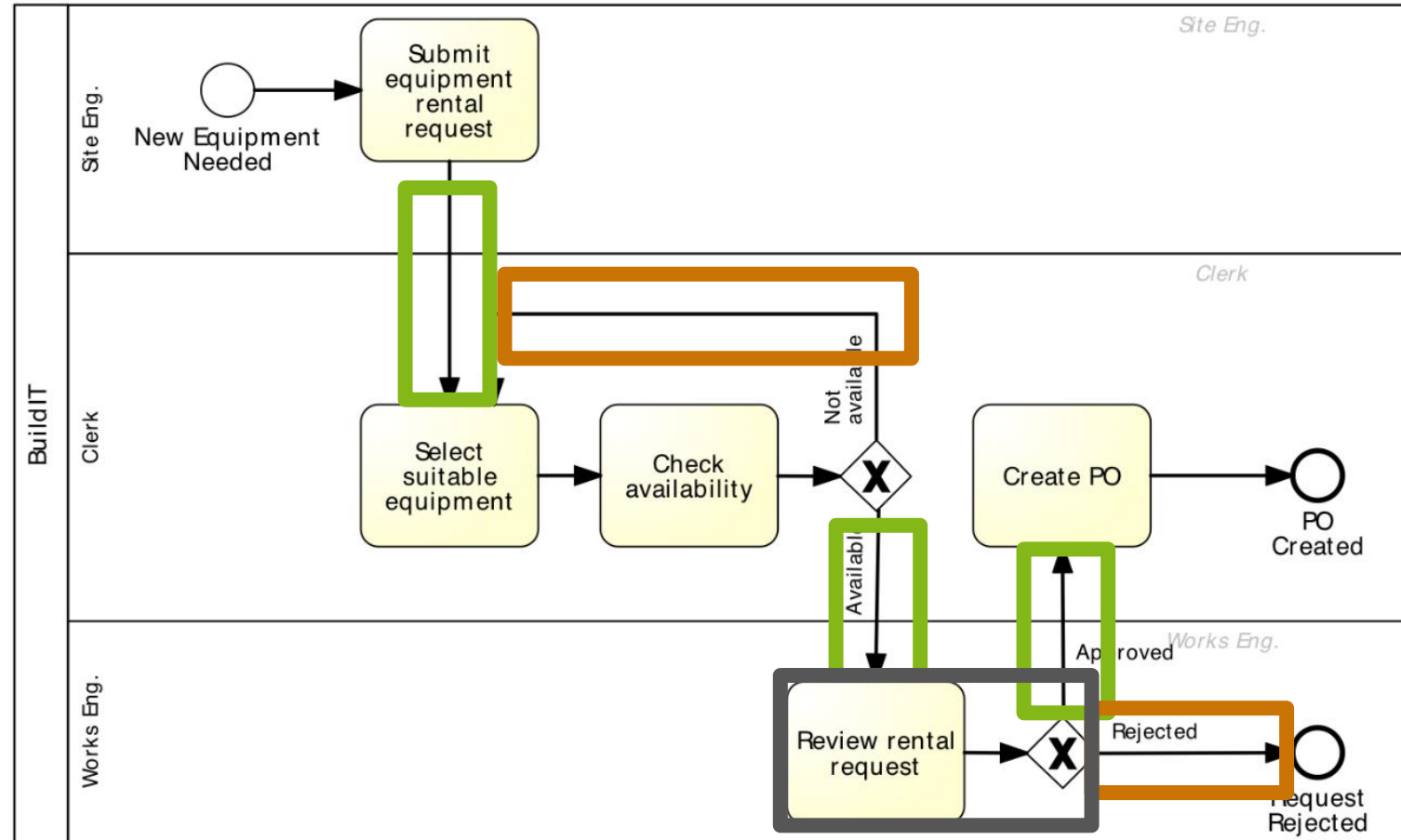
- **Overproduction**

- Successful process instances that were not necessary (e.g., unrequired approval)
- Failed process instance that should not have been initialized (e.g., invalid application)
- See Process Redesign

Value-added Analysis Example



Value-added Analysis Example



Stakeholder Analysis & Issue Documentation



Stakeholder Analysis

- Gathering data from **multiple sources** by interviewing stakeholders of different types and reconciling their viewpoints
 - See Process Discovery
- There are typically **five categories of stakeholders**
 - **Customers** of the process
 - **Process participants**
 - **Process owner** and operational managers who supervise the process participants
 - **External parties**, e.g., suppliers, sub-contractors
 - **Sponsor** of the process improvement effort and other executive managers who have a stake in the performance of the process

Stakeholder Concerns

- **Customers**
 - Slow cycle time, defects, lack of transparency, or lack of traceability (inability to observe the current process status)
- **Process participants**
 - Resource utilization, working under stress, defects arising from handoffs and wastes
- **Process owner**
 - Performance (cycle times, processing times, common defects and wastes, compliance)
- **External parties**
 - Steady or growing stream of work from the process, ability to plan ahead, meet SLA
- **Sponsor**
 - Strategic alignment of the process, contribution to key performance indicators

Dumas et al. (2018)

Issue Documentation

- **Issue register**

- Categorize identified **issues and their impact** as part of as-is process modelling
- Can contains **issues** and **factors**

Name	Description	Qualitative Impact	Assumptions	Quantitative Impact
Rejected equipment	Site engineers reject delivered equipment due to non-conformance to their specifications	Disruption to schedules. Employee stress and frustration	- We rent 3000 pieces of equipment p.a. - Each time an equipment is rejected due to an internal mistake, we are billed the cost of one day of rental, that is 100 €. 5% of them are rejected due to an internal mistake	$3.000 \times 0.05 \times 100 \text{ €} =$ 15.000 € p.a.

Issue Documentation

- **Issue register tables** can have the following columns
 - Issue number
 - Issue name
 - Description/ explanation
 - Priority
 - Assumptions/ input data
 - Impact: qualitative (cost) and quantitative (nuisance)
 - Caused by/ causes
 - Possible solution

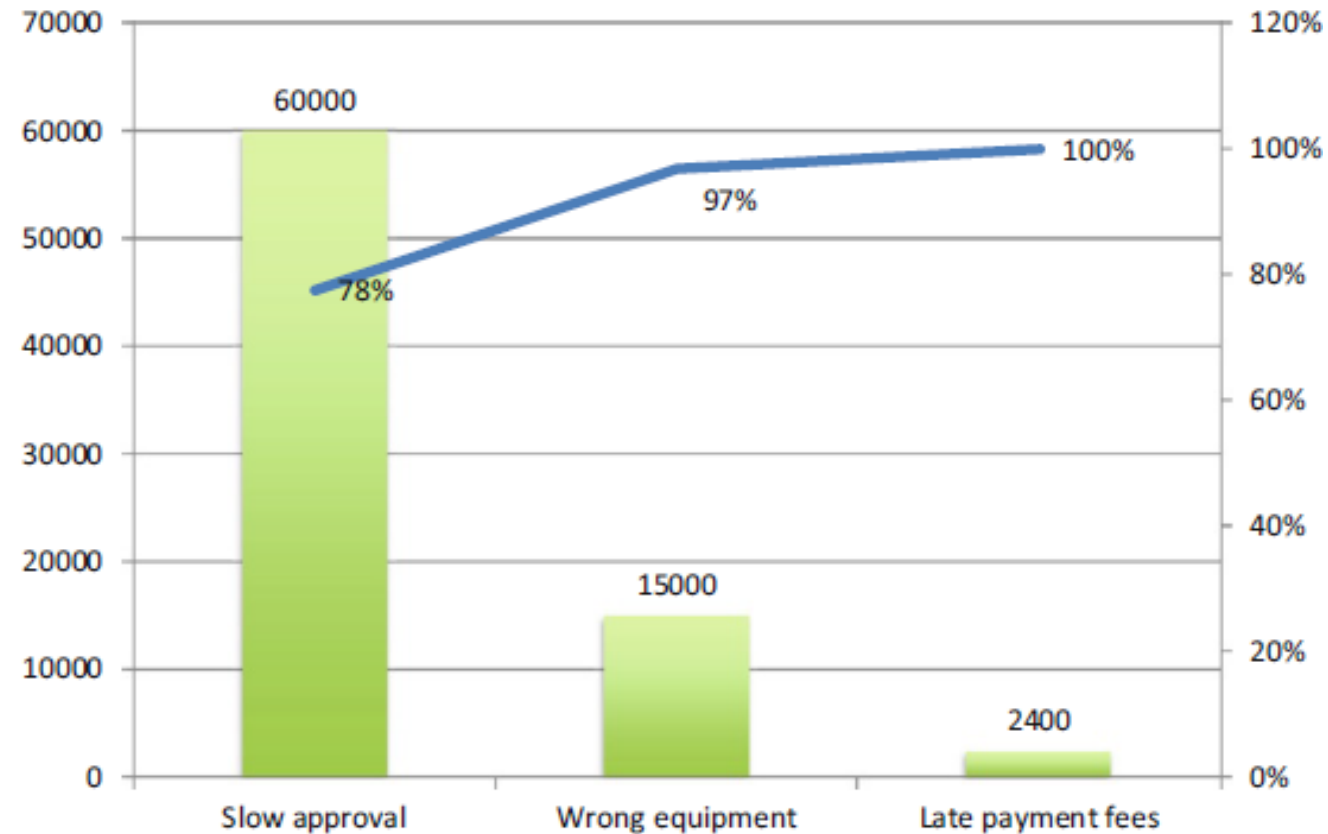
Impact Assessment

- A small **subset of issues** in the issue register are likely responsible for the **largest share of impact**
- For a given issue, a small **subset of factors** behind this issue are likely responsible for the **largest share of occurrences** of this issue
- Techniques necessary to **prioritize** a collection of issues or factors behind an issue
 - Pareto analysis: 80-20 principle
 - Growth-share matrix
 - ...

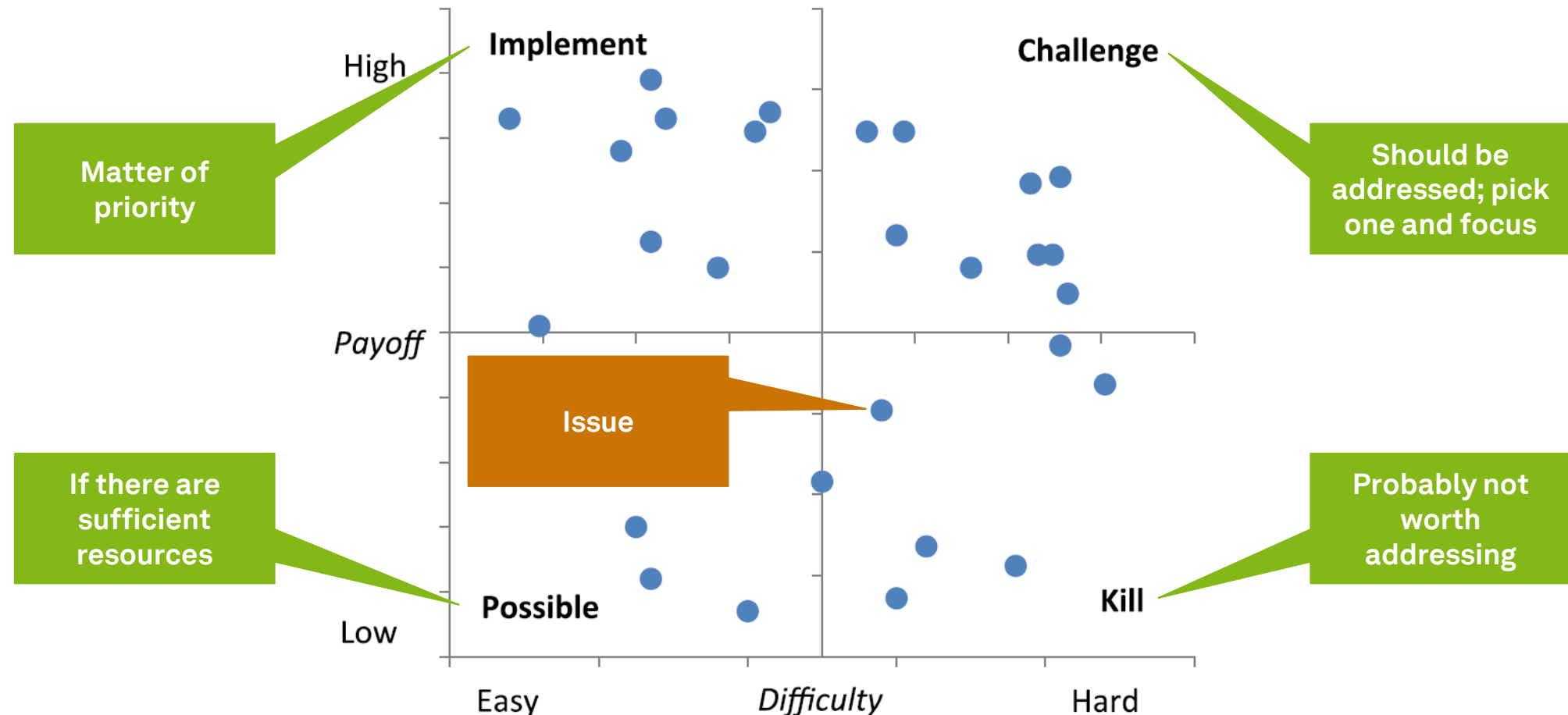
Impact Assessment Process – Pareto Analysis

- Few problems are responsible for large parts of the deficiencies
- **Define** the **effect** to be analyzed and the **measure** via which this effect will be quantified
- Identify all **relevant issues** that contribute to the effect to be analyzed
- **Quantify each issue** according to the chosen measure
 - Can be done on the basis of the issue register, i.e. the quantitative impact column
- Sort the issues according to the chosen measure (from highest to lowest impact) and draw a so-called **Pareto chart**

Pareto Chart



PICK Chart



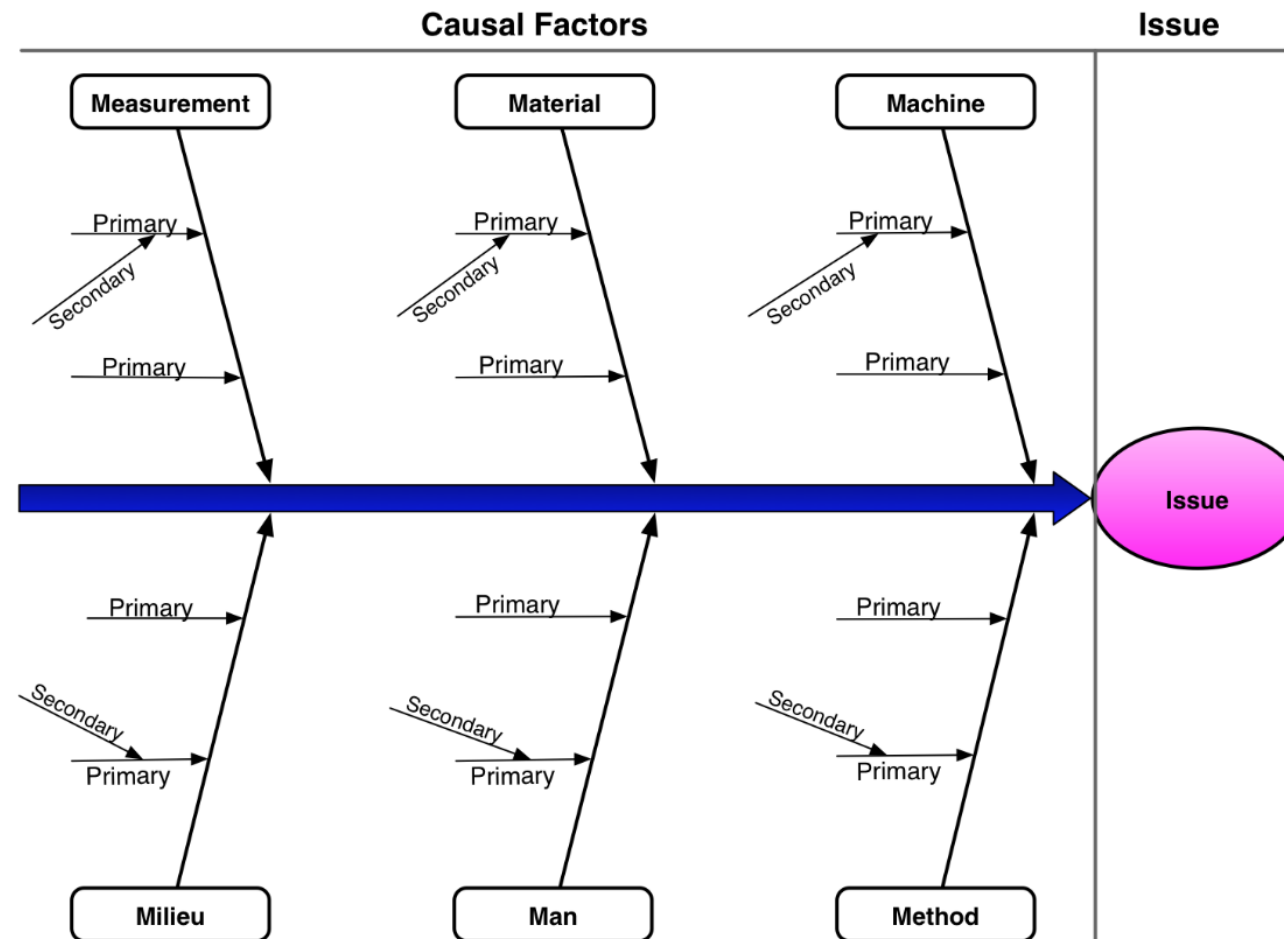
Root Cause Analysis



Root Cause Analysis

- Root cause analysis is a **family of techniques**
- Goal is to **understand root causes** of problems why a process does not have a better performance
- Distinguishes
 - **Causal factors** (root cause)
 - **Contributing factors** (enabler, multiplier)
- Analysis are usually performed as **interviews** or **workshops**
 - Be aware of multiple perspectives/ perceptions on one issue
- Results are documented as
 - **Cause-Effect diagrams**
 - **Why-Why diagrams**

Cause-Effect Diagram



The 6 M (1/3)

- **Machine** (technology)
 - **Lack of functionality** in application systems
 - **Redundant storage** of data across systems, leading e.g. to double data entry and data inconsistencies
 - **Low performance** of IT of network systems, leading e.g. to low response times for process participants
 - **Poor user interface** design, leading e.g. to process participants not realizing that some data are missing or available
 - **Lack of integration** between multiple systems within the enterprise or with external systems

The 6 M (2/3)

- **Method (process)**
 - **Unclear, unsuitable or inconsistent assignment** of decision-making and processing responsibilities to process participants
 - **Lack of empowerment** of process participants, leading to process participants not being able to make decisions
 - **Excessive empowerment** may lead to process participants having too much discretion and causing losses to the business
 - **Lack of** timely **communication** between process participants
- **Material**
 - **Incorrect** data leading to a wrong decision being made during the execution of a process

The 6 M (3/3)

- **Man**

- **Lack of training** and clear instructions for process participants
- **Lack of incentive system** to motivate process participants sufficiently
- **Expecting** too much from process participants
- **Inadequate recruitment** of process participants

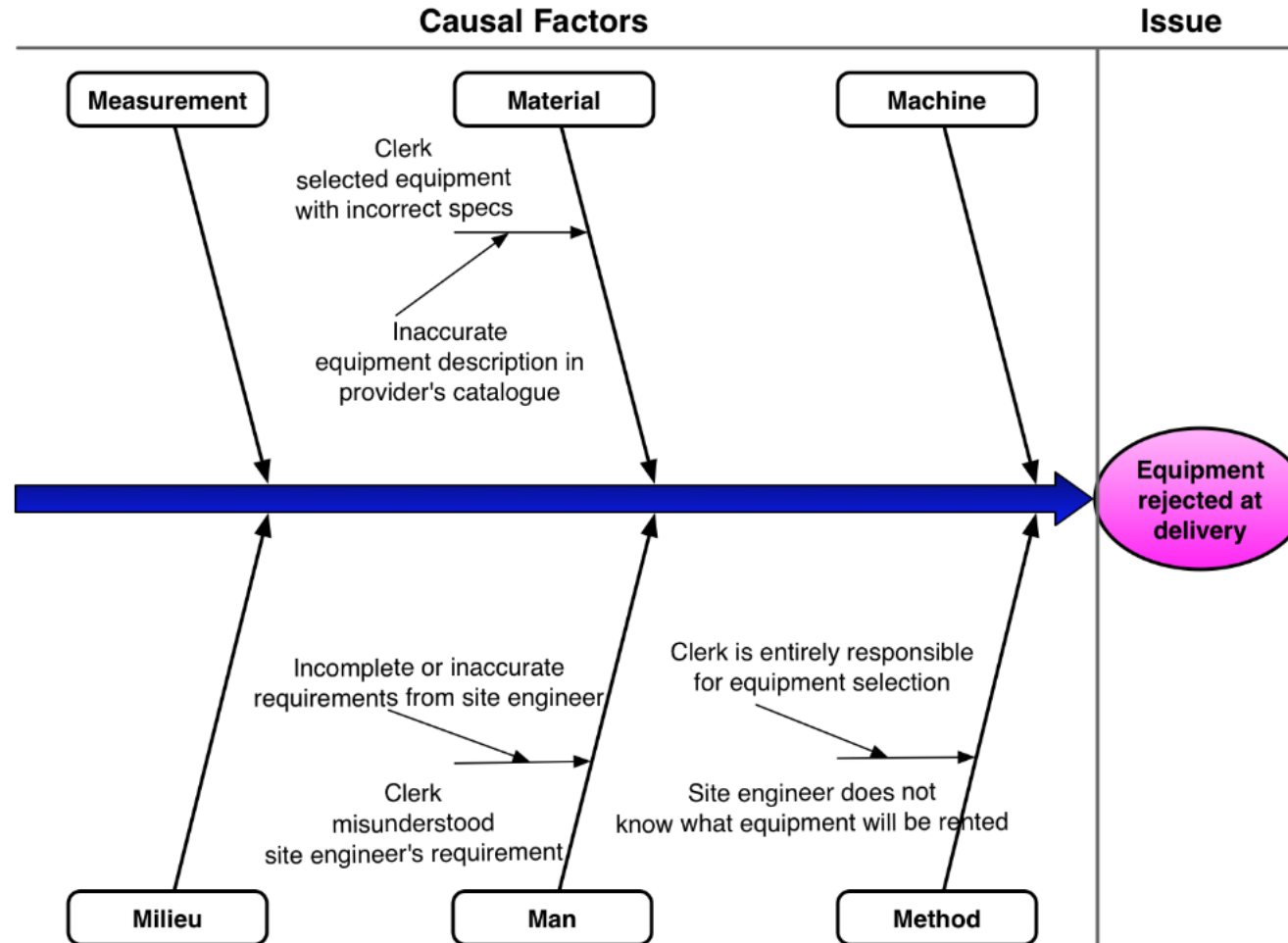
- **Measurement**

- **Mistakes in measurements** or calculations made during the process

- **Milieu**

- Factors stemming from the **environment** in which the process is executed (customer, suppliers or other external actors)
- Distinction between global, external, and internal factors

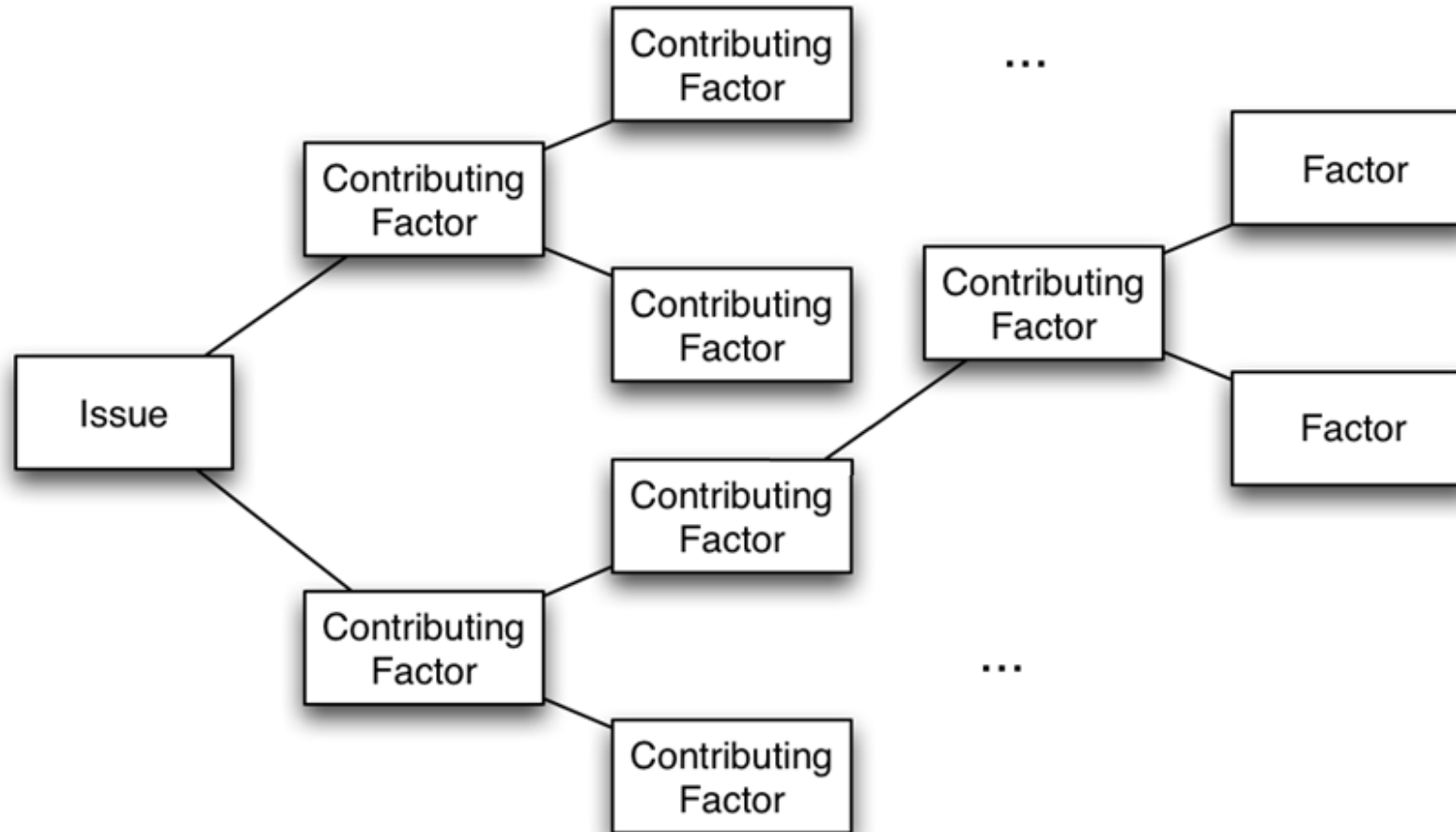
Cause-Effect Diagram – Example



Why-Why Questions

- Recursively ask the question “**Why?**”
 - “Why does this issue happen?”
 - “What is/are the main sub-issue(s) leading to this issue?”
- After asking **five times** you should arrive at the root-cause
- At level 3 to 4 on should focus on **issues that can be solved**
- **Leaves** should be **fundamental** factors (atomic, cannot be explained otherwise)

Why-Why Diagram



Why-Why Diagram - Example

- **Issue** “Site engineers sometimes reject delivered equipment”
why?
 - “Wrong equipment is delivered”
why?
 - “equipment descriptions in supplier’s catalog not accurate”
 - “miscommunication between site engineer and clerk”
why?
 - “site engineer provides only brief/ inaccurate description of what they want”
 - “site engineer does not (always) see the supplier catalogs when making a request and does not communicate with the supplier”
why?
 - » site engineer generally **does not have Internet connectivity**

Qualitative Process Analysis

- **This is not the end**
- There are tons of qualitative techniques which could be used for process analysis
 - Six Sigma techniques
 - Causal factor charts (capture context)
 - Theory of constraints (identify bottlenecks)
 - ...

Learning Goals of Today

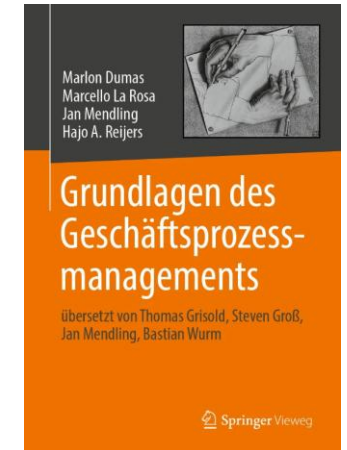
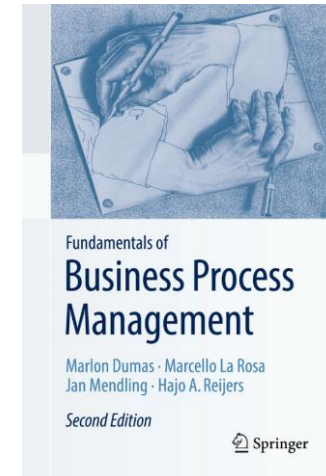
- Understand and be able to use value-added analysis
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Recap Questions

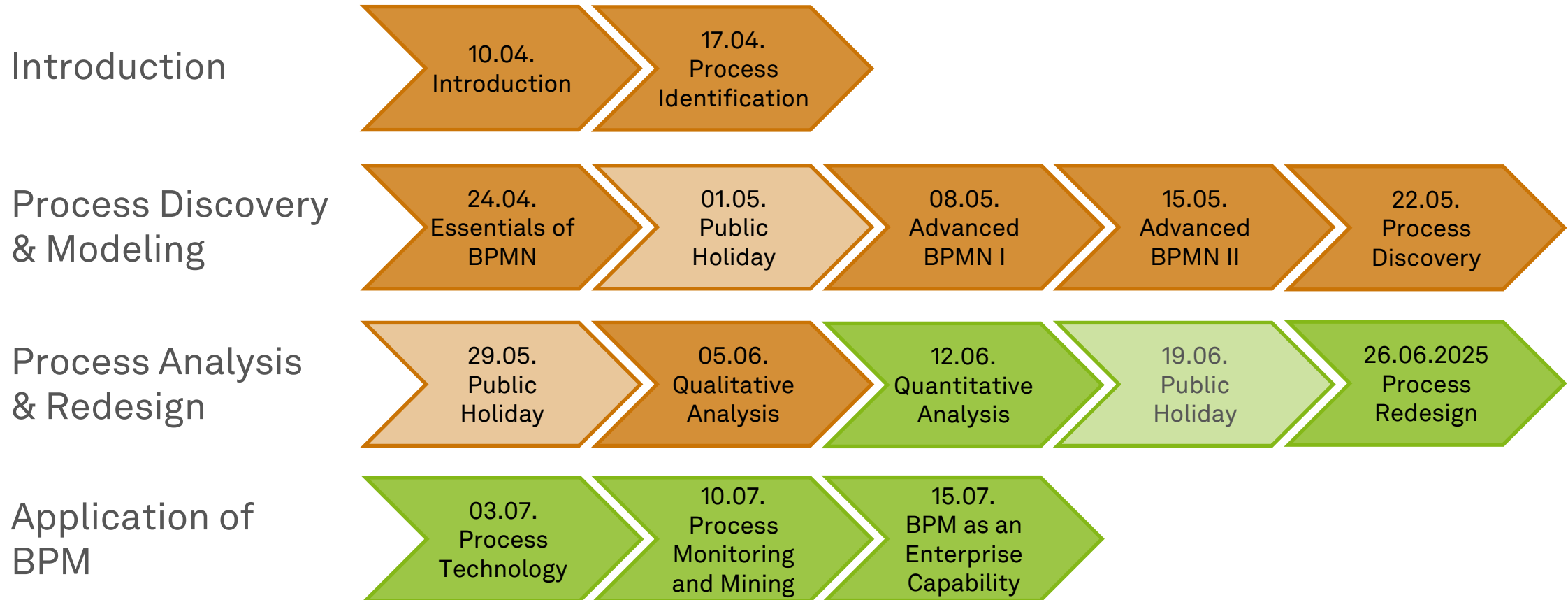
- Why is process analysis an art and a science?
- What are different techniques of qualitative process analysis and what are their key benefits?
- Can you give an own example for the application of each qualitative process analysis technique?

Literature

- **Section 6: Qualitative Process Analysis**



Roadmap



~~waste~~





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